Corporate Finance

Lecture 5 extras: ESCP alumni raising capital

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ESCP is #2 for alumni fundraising



- The **Financial Times Masters in Management 2026** ranking measures how much money the companies founded by each school's alumni have raised.
- Among the top 20 schools, **ESCP ranks second**.
- Companies founded by ESCP alumni raised **USD 484 million** between January and July 2026.
- Behind that number: entrepreneurs who convinced investors to put money into their firms. That is a **financing decision**, the subject we start next week.

The top 3 rounds



Skello: staff scheduling and payroll software for shops, restaurants and care homes.



Deep Fission (US): small nuclear reactors buried 1.6 km underground.



Naboo: a platform to book company off-sites and seminars.

- Together USD 350 million, about **72%** of the USD 484 million. Three very different sectors, one common step: raising outside money to grow.

Another way to raise money: Mistral AI borrows

- **Mistral AI**, the Paris start-up behind the Le Chat AI assistant, raised **USD 830 million of debt** in March 2026: a loan from seven banks, among them BNP Paribas, Crédit Agricole CIB, HSBC and MUFG.
- **What it pays for**: 13,800 Nvidia chips for a new data center at Bruyères-le-Châtel, south of Paris, about 44 megawatts of computing power.
- **Debt, not shares.** The banks do not become owners. Mistral must repay the loan with interest whatever happens; in exchange, its shareholders keep all of the ownership and of the future profits.
- **Why banks agree to lend**: the money buys physical assets that earn revenue from clients, and the chips themselves can be resold.

Sources: CNBC, 30 March 2026; W.Media, "Mistral raises US$ 830 million in debt financing to fund AI DC in France".

What these firms sold: a percentage of the ownership

- In each round, investors gave the firm cash and received a part of the ownership and of future profits. The firm raised **equity**.
- Two names on the slides:
  - **Series B**: a start-up's second large round from venture capital funds, once its product has shown it can sell.
  - **Private equity**: investment funds that buy shares in companies not listed on a stock exchange.
- The investors expect a return that pays for the risk they take. That required return, seen from the firm's side, is its **cost of capital**: the link with the CAPM of Lectures 4 and 5.

Next week: capital structure

- A firm can finance itself with **equity** (selling shares) or with **debt** (borrowing from a bank or issuing bonds). The mix of the two is its **capital structure**.
- **Two cases, two choices**: Skello, Deep Fission and Naboo sold shares; Mistral AI borrowed USD 830 million from banks.
- Questions to keep in mind for next week:
  - Why did the alumni firms sell shares, while Mistral borrowed?
  - Does the mix of debt and equity change the value of a firm?
  - Who carries the risk when a firm borrows: the shareholders or the lenders?

Fundraising news is capital structure in action. Read it with the questions above in mind.

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